

Employing in Croatia

What You Need to Know · Employment Hero HeroForce EOR · July 2026

What does the EOR handle for you?

- **Employment contracts** — compliant contracts under the Croatian Labour Act
- **Monthly payroll** — salary payments in EUR, itemised payslips
- **Tax withholding** — progressive income tax (with local surtax) withheld and remitted monthly
- **Pension & health insurance** — the HZMO and HZZO contribution stack
- **Leave and termination management** — notice periods, entitlements and severance guidance

Employment Conditions

Contracts & Probation

Item	Detail	Legal Basis
Probation period	Maximum 6 months	Labour Act
Standard hours	8 hrs/day, 40 hrs/week	Labour Act

Minimum Wage & Statutory On-Costs (2026)

Measure	Rate	Notes
Minimum wage	€1,050/month gross	Effective 1 January 2026, per government decree
Pillar I pension contribution (employee)	15% of gross salary	Deducted from employee, not an employer add-on
Pillar II pension contribution (employee)	5% of gross salary (where enrolled)	Mandatory second-pillar capitalised pension
Health insurance (employer)	16.5% of gross salary	Croatia's health contribution is employer-funded, unlike its pension system

Leave Entitlements

Leave Type	Entitlement	Who Pays	Key Condition
Annual Leave	Minimum 20 working days/year	Employer	Labour Act minimum; many employers offer more
Sick Leave	Employer pays first 42 days, HZZO thereafter	Employer (42 days) + HZZO	Labour Act / Health Insurance Act
Maternity Leave	Up to 6 months (can extend to 30 months combined with parental leave)	HZZO (100% of average salary, capped)	Mandatory rest period around birth

Payroll, Tax & Contributions

Total Cost Example — USD \$3,000 Gross Monthly Salary

Cost Item	Amount (USD)	% of Gross
Gross salary	\$3,000.00	100%
Health insurance, employer (16.5%)	\$495.00	16.50%
EOR service fee (HeroForce, Tier 2)	\$600.00	20.00%
Estimated total monthly cost	~\$4,095.00	~136.5%

HeroForce EOR service fee shown at USD \$600 per employee per month (Tier 2 pricing), no setup fee. Croatia's pension contributions sit almost entirely on the employee side (15% Pillar I + 5% Pillar II), while health insurance is the primary employer-funded contribution — a structure distinct from most Western European systems. Employee deductions (withheld separately) include the pension contributions and progressive income tax plus local surtax (varies by municipality, e.g. Zagreb).

Income Tax

Croatia applies a two-bracket progressive national income tax (typically 20%/30%, thresholds indexed annually), plus a municipal surtax that varies by city — Zagreb's surtax is among the highest.

Termination & Separation

Notice periods scale with length of service under the Labour Act, from 2 weeks (under 1 year) up to 3 months (20+ years). Severance is mandatory for redundancy after 2+ years' continuous service, typically calculated as a fraction of monthly salary per year of service (commonly 1/3 to 1/2 month per year, capped).

Public Holidays 2026

Date	Holiday	Type
1 January	New Year's Day	National
6 January	Epiphany	National

5 April	Easter Sunday	National
6 April	Easter Monday	National
1 May	Labour Day	National
4 June	Corpus Christi	National
22 June	Anti-Fascist Struggle Day	National
5 August	Victory and Homeland Thanksgiving Day	National
15 August	Assumption Day	National
1 November	All Saints' Day	National
18 November	Remembrance Day	National
25–26 December	Christmas Day and St. Stephen's Day	National

Ready to hire in Croatia?

HeroForce by Employment Hero is an Employer of Record solution that handles hiring, contracts, compliance and payroll across 180+ countries.

Onboard your first Croatia employee in as little as one to two weeks — HeroForce EOR service fee: **USD \$600** per employee per month, no setup fee (Tier 2).